



Second, the US dollar's roughly two-decade cycle has likely just seen its peak: the pandemic, war and earlier shale delayed cyclical dollar weakness. And 2023, despite any volatility, will likely be when the rupee starts a gradual transition towards becoming a hard currency. India has the scale, talent and culture to host two of the world's top 10 financial capitals over time. We will export and import capital more freely, interest rates will fall, and the rupee will be the only long-term alternative to the dollar (unless Europe fully unites, or China democratises).

Third, the Indian push for reforms and infrastructure will intensify. This will be both due to the sagacity of the leaders, but also this development is endogenous to our

democracy. Economic growth and mobility have led to various caste and linguistic barriers being diluted, and in turn has led to more civilisational pride along with an interest in development. This virtuous cycle should continue in 2024 and beyond, as our polity gradually transitions from a patrimonial- and patronage-based one to a more performance-based one across political parties.

As India rises, its scale and prosperity will not just attract some of the diaspora back but even educated migrants over time. Hence, a snowball effect will take over. In fact, if India grows just 5-6 per cent faster than America per year on average, by 2047 the Indian GDP would have comfortably surpassed America's and by the 2060s, even GDP per capi-

ta (remember, with a population that is more than four times larger). Part of the math works out because of the rupee's real appreciation—it has already been happening for a generation, but as growth differentials rise and inflation differentials fall, this will turn into nominal appreciation.

Communist China's demographics and politics will cause it to slow dramatically, but it is still likely to grow faster than America—and there is no cause for complacency or premature celebration. However, what is equally important is that an empirically grounded optimistic picture, if true, is necessary to disseminate to further rekindle our economy's animal spirits.

Finally, overall global growth is likely to be faster than what many think based on linearly extrapolating demographic and other trends, even though growth will not be as fast as some "singularity" techno-optimists say. The difference will be that the tech frontier will not be one country anymore—which is the cause of some statistical confusion—but global and concentrated in three or more countries. We may not have "cornucopia", but we will have abundance and the end of poverty, and as Keynes said a century ago, it will lead humanity to ask some fundamental questions about itself.

From the Gangetic Plains to the Bay of Bengal and Arabian Sea coasts, Bharat was the veritable golden bird a millennium ago. This time our waterways will be supplemented by railroads, clean energy, augmented reality, and a billion-plus dreams—as this time we would be fine-tuning the ultimate tech: an accountable and representative civilisational state. **BT**

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